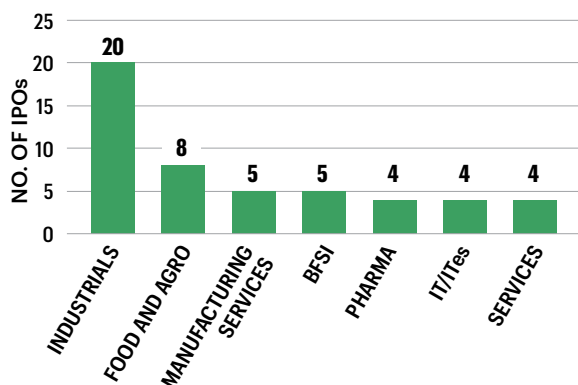


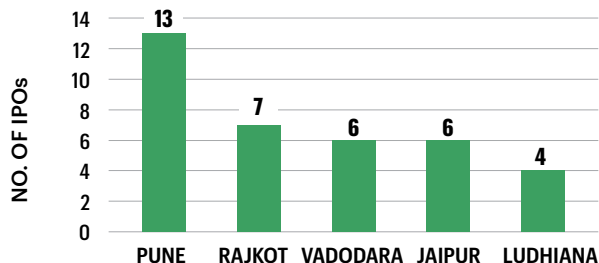
## INDUSTRIALS LEAD

- Good business models still rule in terms of IPOs
- Industrials are ahead of many new-age sectors



## BEYOND METROS

- Fundraising has moved beyond the metros
- Bharat Inc. is increasingly making its presence felt



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tail, telecommunications, information technology (IT), manufacturing, and fintech are a few examples.

However, there is still some debate around the form and shape the new conglomerates will take. "A lot will be determined by nimbleness and adaptability. We are in a dynamic world marked by changing consumer preferences. The speed of decision-making could make all the difference," says Desai. It is intriguing to imagine the new pecking order. "The ability to access capital may not be such a strategic issue. It is possible that single-business conglomerates become a dominant theme," says Desai.

That is a significant change from the more traditional (and in many cases well-established too) structure of families owning and running a multitude of businesses. "Conglomerates' traditional advantages have diminished. Access to capital is more democratised, infrastructure has improved and technology has made reaching customers easier," says Dan Tennebaum, Managing Principal, India Capital, a firm focussed on public equities in India. A more level playing field, he says, is allowing sector-focused leaders to challenge sprawling conglomerates; access to funds is not a constraint anymore. "Plus, there are many more financing options available than in the past," Tennebaum says.

### THE EVOLVING SCENARIO

Growth opportunities are indisputable, and firms of different sizes have relentlessly pursued expansion in local and international markets. Tennebaum brings in a perspective tinged with some apprehension. "I worry that chasing growth for its own sake will end badly. Undisciplined expansion and splashy international forays have led to a lot of corporate blow-ups," he says.

Interestingly, a lot of businesses have gained by getting it right domestically. "These companies have grown swiftly and built world-class models that they now apply in global markets." Citing the "brutally competitive" Indian auto ancillary space, he speaks of companies with world-class capital efficiency. "They are using that to outcompete incumbents in global markets but usually it (priority) should be excellence first and global growth second," he adds. With constant disruption looming, a lot of other things need to be in place. "Perhaps the most important factor is governance. The firms must be on top of this all the time," says Desai. That is a key component to determine the maturity of both small and large companies.

### T FOR TECHNOLOGY

By any token, the ability to use technology smartly ought to be among the more important ways to alter the course of a business. And now, almost anyone can get a slice of it and create the most disruptive phenomenon.

Subhabrata Sengupta, Partner, Avalon Consulting, says the next two decades will see a lot of investments in green tech, artificial intelligence, quantum computing, augmented and virtual reality and nanotechnology. "In many of these areas, India is quite behind, while in others, government-backed investments need to be monitored," he says. He is bullish on fintech, pharma, biotech, and waste mining.

Of course, one needs to ponder about the potential impact of AI and new tech. Sengupta thinks AI agents could take over some functions like customer service. "Indian companies lag in pure R&D (research and development) spend and deep tech and hopefully, some of the